

HOUSE BILL 2427

By Williams

AN ACT to amend Tennessee Code Annotated, Title 9,
Chapter 4, relative to precious metals.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 9-4-801, is amended by deleting the language "As used in this part" and substituting instead the language "As used in this section and § 9-4-802".

SECTION 2. Tennessee Code Annotated, Title 9, Chapter 4, Part 8, is amended by adding the following as new sections:

9-4-803. Short title.

Sections 9-4-804 - 9-4-810 are known and may be cited as the "Tennessee Transactional Gold and Silver Act."

9-4-804. Legislative findings and purpose.

(a) The general assembly finds and declares:

(1) Several states have introduced or enacted legislation to recognize transactional gold and silver;

(2) The use of gold and silver as a medium of exchange has a historical basis in fostering economic stability and individual liberty;

(3) Recognizing gold and silver as legal tender promotes economic justice by allowing citizens of every economic stratus access to the ability to preserve their wealth by hedging against inflation with precious metals; and

(4) Allowing the use of gold and silver as legal tender provides individuals and businesses within this state an alternative option for preserving and exchanging wealth.

(b) The purpose of §§ 9-4-805 - 9-4-810 is to allow transactional gold and silver to be used as voluntary, opt-in mediums of exchange held in physical form.

Transactional gold and silver does not constitute a central bank digital currency and must not be used by this state or a public entity as a mechanism for surveillance, social scoring, behavioral conditioning, or any form of social or economic control.

9-4-805. Definitions for §§ 9-4-804 - 9-4-810.

As used in §§ 9-4-804 - 9-4-810:

(1) "Bullion" means refined precious gold or silver metal, in any shape or form, valued primarily based on its metal content and not on its form or function, and includes, as applicable, gold coin and silver coin;

(2) "Bullion depository" means an entity providing vault facilities within the United States for the storage of bullion that:

(A) Complies with the prescribed London Bullion Market Association or equivalent best-practice guidelines; and

(B) Has a contractual relationship to provide services for deposits of specie or legal tender for an authorized electronic payment system vendor;

(3) "Depository agent" means a private entity authorized by the treasurer to operate a bullion depository or perform related services;

(4) "Electronic payment system" means an electronic platform or payment system that enables participating vendors to receive and process a payment from an account holder of a bullion depository using specie held in the bullion depository as the basis for the payment transaction and that:

(A) Uses bullion held in a bullion depository for electronic transactions;

(B) Allows for the redemption of bullion by system participants;

(C) Enables account holders to make payments to participating vendors; and

(D) Is authorized and approved by the treasurer to provide accounts that hold bullion and allow users to buy, sell, save, or spend bullion as a form of legal tender;

(5) "Gold coin" and "silver coin" means, as applicable, gold or silver metal that is:

(A) In bars or other physical forms certified at least:

(i) For gold metal, ninety-nine and one-half percent (99.5%) pure; and

(ii) For silver metal, ninety-nine and nine-tenths percent (99.9%) pure; and

(B) Coined, stamped, or imprinted with its weight and purity;

(6) "Legal tender" means a medium of exchange, including specie, recognized by this state for the payment of debts, taxes, fees, and other obligations;

(7) "Social credit scoring system" means a system of recordkeeping, data collection, or scoring that evaluates, monitors, or ranks an individual's or entity's behavior, beliefs, associations, or compliance with government or corporate standards, and that conditions access to services, benefits, or opportunities based on that evaluation;

(8) "Specie":

(A) Means coin or bullion having intrinsic value and used or intended for use as money; and

(B) Includes transactional gold and silver; and

(9) "Transactional gold and silver" means a representation, in the exact units of metal in fractional troy ounces or grams, of physical gold, silver, or bullion that:

(A) May be transferred through electronic or written instruction by the owner;

(B) May be used to make or receive payments, or to transfer value, within this state or between parties who consent to its use; and

(C) Is fully backed by specie held in a bullion depository and redeemable on demand by the holder in the underlying gold or silver specie or bullion.

9-4-806. Legal tender.

(a) Specie is recognized as legal tender in this state.

(b) Specie may be used for the payment of:

(1) Debts between private parties, if mutually agreed upon; and

(2) Taxes, fees, or other obligations owed to the state or a political subdivision, if the state or political subdivision agrees to accept specie as payment.

(c) A person or entity must not be compelled to accept specie as payment, except as provided in subdivision (b)(2), by mutual agreement, or where payments are made by an electronic payment system participant in specie and the other party receives U.S. dollars utilizing traditional payment mechanisms.

9-8-807. Bullion depository and electronic payment system.

(a) The treasurer shall:

(1) Designate or establish a bullion depository for secure storage of specie to facilitate transactions; and

(2) Authorize an electronic payment system to enable vendors to receive and process payments using specie.

(b) The treasurer may:

(1) Operate the bullion depository directly or contract with a depository agent; and

(2) Contract with one (1) or more private entities to develop or operate the electronic payment system.

(c) The treasurer shall ensure:

(1) The bullion depository is secure, transparent, and accessible for use by any person;

(2) The electronic payment system is reliable and compliant with state and federal law;

(3) A depository agent or contracted entity operates in the best interests of the state and its depositors;

(4) Deposits in the bullion depository for the purpose of electronic exchange are to be insured for one hundred percent (100%) of the full replacement value under an all-risk insurance policy issued by a non-governmental operated insurer;

(5) The sufficiency of specie held by the bullion depository is regularly verified;

(6) Electronic system vendors are authorized to do business within this state and compliant with federal and state money transmitter laws;

(7) Appropriate fraud prevention measures are established;

(8) The privacy of system participants in such a manner that transaction information will not be shared without proper court authorization, and that information must not be used in a social credit scoring system; and

(9) Participants' deposits are the sole property of the owner and are not subject to seizure by the state without prior written notice and an opportunity to contest the seizure.

9-4-808. Tax exemptions.

The exchange of one (1) type or form of legal tender for another type or form of legal tender is not subject to taxation by the state or a political subdivision.

9-4-809. Report.

The treasurer shall submit an annual report on or before February 1, 2028, and on or before February 1 of each subsequent year, to the general assembly detailing:

- (1) The status and operations of the bullion depository;
- (2) The implementation and usage of the electronic payment system; and
- (3) The economic impact of recognizing gold and silver coin as legal tender.

9-4-810. Rulemaking.

The treasurer may promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, to effectuate this part.

SECTION 3. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4.

(a) The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the code commission is requested to include the headings in any compilation or publication containing this act.

(b) The code commission is requested to revise the heading for Tennessee Code Annotated, Section 9-4-801 to more accurately reflect the change made pursuant to SECTION 1.

SECTION 5. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2027, the public welfare requiring it.